

In a danger zone. Between \$36,000 and \$45,000 of earnings, net never gets back to the \$84,732 it reaches at \$36,000. Clear at \$45,000: a raise of \$7,000.

It happens again between \$45,000 and \$119,000. Safe from \$119,000: a raise of \$73,000.

Net, after premiums	Raise to clear the zone	Largest single-step drop	Reach at current earnings
\$84,371	\$7,000	\$25,449	40th
at \$38,000 earned	to \$45,000 earned	at \$54,000 → \$55,000	percentile, ±\$8,000 (n = 393)

Model coverage in Colorado

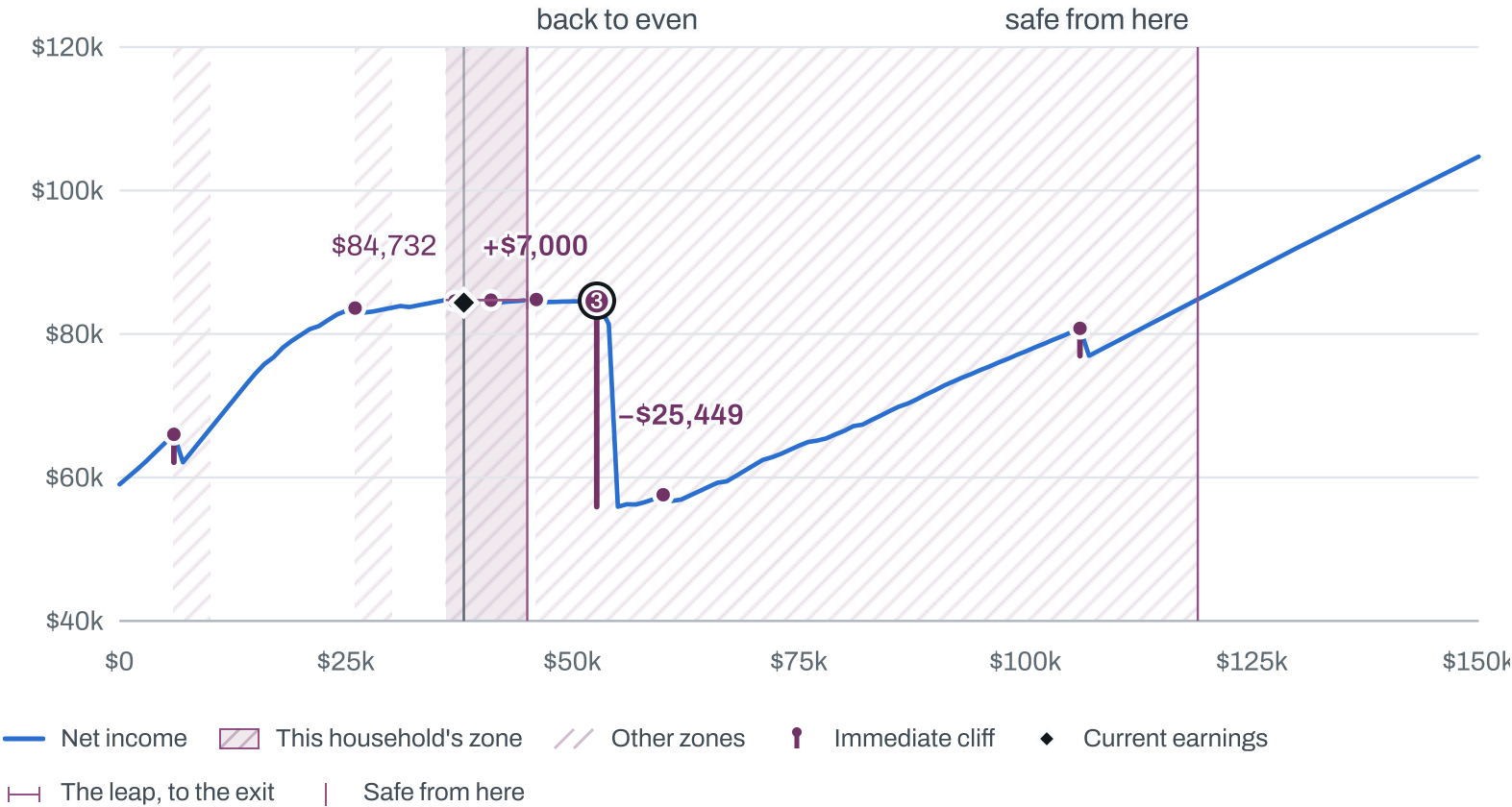
Figures complete for Colorado. Nothing this household would hold is unmodelled here.

Corrections applied in Colorado

Colorado premium assistance	modeled PolicyEngine computes Colorado premium assistance itself, and HotGap subtracts it from the premium the household pays, because the engine reports it as a health benefit rather than in the out-of-pocket premium HotGap reads; no local schedule is applied.
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Checked and not applying here — TAFDC: Massachusetts only; PolicyEngine's TANF stands as served. CCDF child care subsidy: PolicyEngine already counts this state's child-care subsidy in net income, so HotGap only names it. Coverage gap: Expansion state: adults to 138% of the poverty line are on Medicaid, so the coverage-gap correction never fires. LIHEAP energy assistance: HotGap shows where energy assistance (LIHEAP) stops in this state — 60% of state median income — and what the state pays at that top band, but counts the money only for a household that says it gets it, because the program is a block grant that served about 16% of its income-eligible households in FY2024, so a curve that assumed it would draw a benefit most eligible families never receive.

Net income after premiums, \$0–\$150,000 of earnings



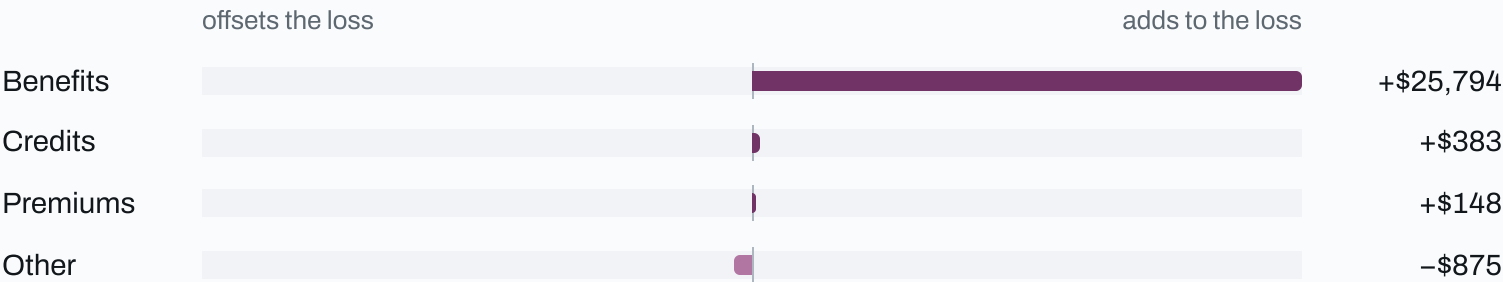
The y-axis starts at \$40,000, not \$0; the visible range is 3.1× the largest drop. No cliff on this curve is deferred. Estimates only — a caseworker decides real benefits. Rules: 2026. Curve: live PolicyEngine call for this household in El Paso County, Colorado. Rent: HUD Office of Policy Development and Research, Fair Market Rents FY2026 revised schedule (effective 2025-10-01) Child-care price: county 2015, carried to 2026 dollars by the BLS Employment Cost Index. Reach: ACS 2024 1-Year PUMS (and the 2020-2024 5-Year PUMS for small-state cells the 1-Year cannot support), householder + spouse earnings, adjusted to 2024 dollars by each record's ADJINC and to 2026 dollars by the BLS ECI. Vintages used: ACS 2024 1-year PUMS. Model: policyengine-us 2.6.2.

Every step down

Earnings	Drop	Programs lost	Driver
\$6,000 → \$7,000	−\$3,904	TANF cash assistance	benefits
\$26,000 → \$27,000	−\$627	none named	credits
\$37,000 → \$38,000	−\$219	Medicaid	premiums
\$41,000 → \$42,000	−\$305	none named	credits
\$46,000 → \$47,000	−\$361	none named	credits
\$51,000 → \$52,000	−\$780	none named	credits
\$53,000 → \$54,000	−\$2,444	SNAP, WIC	benefits

Earnings	Drop	Programs lost	Driver
\$54,000 → \$55,000	−\$25,449	CCDF child care subsidy	benefits
\$60,000 → \$61,000	−\$857	none named	credits
\$106,000 → \$107,000	−\$3,821	Premium tax credit	premiums

Where the \$25,449 went — \$54,000 to \$55,000



Sums to \$25,449, the drop. Driver: benefits.

The four shares sum to the drop exactly. A share right of zero adds to the loss; one left of it offsets the loss — here, a falling tax bill. Medicaid and CHIP never appear: their value is a coverage sticker price, never cash, so it cannot move net income. A child losing coverage shows in programs lost instead.

Where each program ends

A program ends at the first pay at which it is gone. Adults and children are reported separately — a parent usually loses coverage far below a child’s limit.

Earnings	Program	Who
\$7,000	TANF cash assistance	Household
\$38,000	Medicaid Coverage ends with the raise (no deferral applies); the net premium rises \$444 in the step.	Adult
\$41,000	Medicaid Deferred The children move to CHIP: \$4,548 a year of coverage from \$41,000. Crossing this does not end it this year: the loss lands at the child's next yearly renewal, up to 12 months away (42 CFR 435.926, 457.342).	Children
\$54,000	SNAP \$713 a year of SNAP continues at \$54,000, none from \$55,000.	Household
\$54,000	WIC \$181 a year of WIC continues at \$54,000, none from \$55,000.	Children
\$55,000	CCDF child care subsidy	Household

Earnings	Program	Who
	Worth \$24,899 a year at \$54,000. Care priced at \$2,773 a month for 2 children (county 2015 prices, carried to 2026 dollars by the BLS Employment Cost Index).	
\$59,000	Earned Income Tax Credit (EITC) Phases out; no step of \$200 or more, so it is not a cliff.	Household
\$69,935	LIHEAP energy assistance if you apply 60% of state median income, the heating limit. Worth \$200–\$1,000 at that band if received; 16% of income-eligible households were served in FY2024. Not counted unless the household says it gets it. Read 2026-09-16.	Household
\$73,000	CHIP Deferred The premium tax credit rises \$6,706 as it ends. Crossing this does not end it this year: the loss lands at the child's next yearly renewal, up to 12 months away (42 CFR 435.926, 457.342).	Children
\$107,000	Premium tax credit Net premium rises \$4,476 in one step; Colorado premium assistance (\$1,656) ends with it.	Household

Cash benefits never end inside this axis. Child coverage ends at \$73,000, deferred. No coverage gap band: Expansion state: adults to 138% of the poverty line are on Medicaid, so the coverage-gap correction never fires. Colorado premium assistance is modeled: netted out of the premium, up to \$1,656 a year.

Compare

The same rules asked of each what-if.			
	Now 1 adult, \$38,000	CCDF subsidy off 1 adult, \$38,000	Pay \$55,000 a year 1 adult, \$55,000
Net after premiums	\$84,371	\$60,045	\$55,924
Change from now	—	−\$24,326	−\$28,448
In a danger zone	Yes	No	Yes
Zone ends at	\$45,000	—	\$119,000
Raise still needed	\$7,000	—	\$64,000
Safe from	\$119,000	\$113,000	\$119,000
Largest drop	\$25,449	\$7,272	\$25,449
Adult Medicaid ends	\$38,000	\$38,000	\$38,000
Child coverage ends	\$73,000	\$73,000	\$73,000

	Now 1 adult, \$38,000	CCDF subsidy off 1 adult, \$38,000	Pay \$55,000 a year 1 adult, \$55,000
Reach at these earnings	40th	40th	51st

Reach is the share of households of the same shape in Colorado earning at or below this figure — it says how common the pay is, never the odds of getting there.

What this model does not include

- Health cost is premiums only — no deductibles, copays or other out-of-pocket spending.
- Assumed for this curve: a citizen, no savings, wages, not self-employment, no employer coverage, and no other income; aged 30.
- Take-up assumed for SNAP, TANF cash assistance, Medicaid, WIC, and CCDF child care subsidy; not for Head Start, Housing voucher, and LIHEAP energy assistance.
- Annualised current-rule scenarios, not prorated calendar-year benefit totals.
- Energy assistance (LIHEAP) in Colorado: HotGap shows where energy assistance (LIHEAP) stops in this state — 60% of state median income — and what the state pays at that top band, but counts the money only for a household that says it gets it, because the program is a block grant that served about 16% of its income-eligible households in FY2024, so a curve that assumed it would draw a benefit most eligible families never receive.

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Your pay and your help — Colorado, one parent, two children

You are paid \$38,000 a year. You keep \$84,371. More pay does not add to that until you are paid \$45,000: a raise of \$7,000. It happens again from \$46,000 to \$119,000.

\$29,379 of what you keep is child care help paid straight to your day care.

The biggest drop is at \$55,000 of pay: child care help ends and you keep \$25,449 less. Food help ends at \$54,000.

Your kids' health plan ends at \$73,000 of pay — but not that year. It ends at their next yearly check, up to 12 months later.

These are estimates. A case worker decides real help.

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